

India Financial Policy Knowledge Base

Static Reference Document for RAG System | FY 2026-27

Sources: Income Tax Act 2025 (amended by FA 2026), RBI MPC Statement June 2026, CGST Act

1. Income Tax — FY 2026-27

India offers two tax regimes: the New Tax Regime (default from FY 2024-25) and the Old Tax Regime. Taxpayers can choose either at the time of filing. The New Regime has lower rates but does not allow most deductions (like 80C, HRA). The Old Regime has higher rates but allows deductions.

1.1 New Tax Regime Slabs (Default)

Income Bracket	Tax Rate
Up to Rs 4,00,000	Nil
Rs 4,00,001 to Rs 8,00,000	5%
Rs 8,00,001 to Rs 12,00,000	10%
Rs 12,00,001 to Rs 16,00,000	15%
Rs 16,00,001 to Rs 20,00,000	20%
Rs 20,00,001 to Rs 24,00,000	25%
Above Rs 24,00,000	30%

Key benefit: Standard Deduction of Rs 75,000 for salaried individuals under New Regime. Combined with Section 87A rebate, effective tax is zero for income up to Rs 12.75 lakhs.

1.2 Old Tax Regime Slabs

Income Bracket	Tax Rate
Up to Rs 2,50,000	Nil
Rs 2,50,001 to Rs 5,00,000	5%
Rs 5,00,001 to Rs 10,00,000	20%
Above Rs 10,00,000	30%

Note: Standard Deduction under Old Regime is Rs 50,000. A 4% Health and Education Cess applies on computed tax in both regimes. High earners are subject to surcharge.

2. RBI Monetary Policy — June 2026

The Monetary Policy Committee (MPC) held its 61st meeting from June 3 to 5, 2026, under the chairmanship of Governor Sanjay Malhotra. The MPC voted unanimously to keep rates unchanged. The next MPC meeting is scheduled for August 3 to 5, 2026.

Rate	Value	Description
Repo Rate (Policy Rate)	5.25%	Rate at which RBI lends to commercial banks. Benchmark for retail loan EMIs.
Standing Deposit Facility (SDF)	5.00%	Rate at which banks park excess liquidity with RBI. Floor of LAF corridor.
Marginal Standing Facility (MSF)	5.50%	Emergency overnight borrowing rate for banks. Ceiling of LAF corridor.
Bank Rate	5.50%	Rate for long-term lending. Aligned with MSF.
CRR (Cash Reserve Ratio)	4.00%	Share of deposits banks must hold as cash with RBI.

SLR (Statutory Liquidity Ratio)	18.00%	Minimum % of deposits banks must maintain in liquid assets like govt bonds.
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Inflation outlook: CPI inflation for FY 2026-27 projected at 5.1% (Q1: 4.2%, Q2: 5.1%, Q3: 5.9%, Q4: 5.4%). GDP growth projected at 6.6% for FY 2026-27. MPC stance: Neutral.

3. Goods and Services Tax (GST)

India's GST is a destination-based consumption tax. It replaced multiple indirect taxes from July 2017. GST has four main rate slabs. For interstate supply, IGST applies. For intrastate supply, CGST + SGST applies (each half the GST rate).

GST Slab	Category	Examples
0% (Exempt)	Essentials	Fresh fruits and vegetables, milk, bread, unbranded flour, printed books, life-saving medicines, h
5%	Mass Consumption	Packaged food, basic clothing, edible oils, railway transport, standard restaurant services.
12%	Standard (Lower)	Processed food, butter, cheese, mobile phones, business class air travel, non-AC hotels.
18%	Standard (Main)	Smartphones, IT equipment, telecom services, banking services, beauty products, AC restaurant
28%	Luxury and Demerit	Luxury cars, large SUVs, aerated drinks, tobacco products (+ compensation cess).

Special rates: Gold and silver taxed at 3%. Rough precious stones at 0.25%. GST registration mandatory for businesses with annual turnover above Rs 40 lakhs (Rs 20 lakhs for services).

4. Key Macroeconomic Indicators — FY 2026-27

Indicator	Value / Target	Notes
CPI Inflation Target	4.0% (+/- 2% band)	RBI's mandated target. Projected FY27 actual: 5.1%.
GDP Growth Projection	6.6%	RBI projection for FY 2026-27. Q1 at 6.6%, Q4 at 6.8%.
Fiscal Deficit Target	Below 4.5% of GDP	Government target for FY 2026-27. Focus on fiscal consolidation.
RBI Monetary Stance	Neutral	MPC decided to retain neutral stance as of June 2026.

Document generated: July 2026 | For use as static knowledge base in RAG system. Verify against live sources for post-August 2026 policy changes (next MPC: Aug 3-5, 2026).